Business Management for IT (IT3090)



Managing People II

(Lesson 5)

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LEARNING OUTCOMES

At the end of the lecture, students should be able to;

- Understand the basic concepts of Human Resource Management (HRM).
- Define HRM.
- Provide an overview of functions of HRM.
- Understand the significance of human resource.



Training & Development



Training and Development

- The formal process of changing employee behavior and motivation in the way that will enhance employee job performance and then organizational overall performance.

- The HRM function that formally and systematically provides new learning to increase employees' capabilities so as to increase their current job performances and future job performance as well.

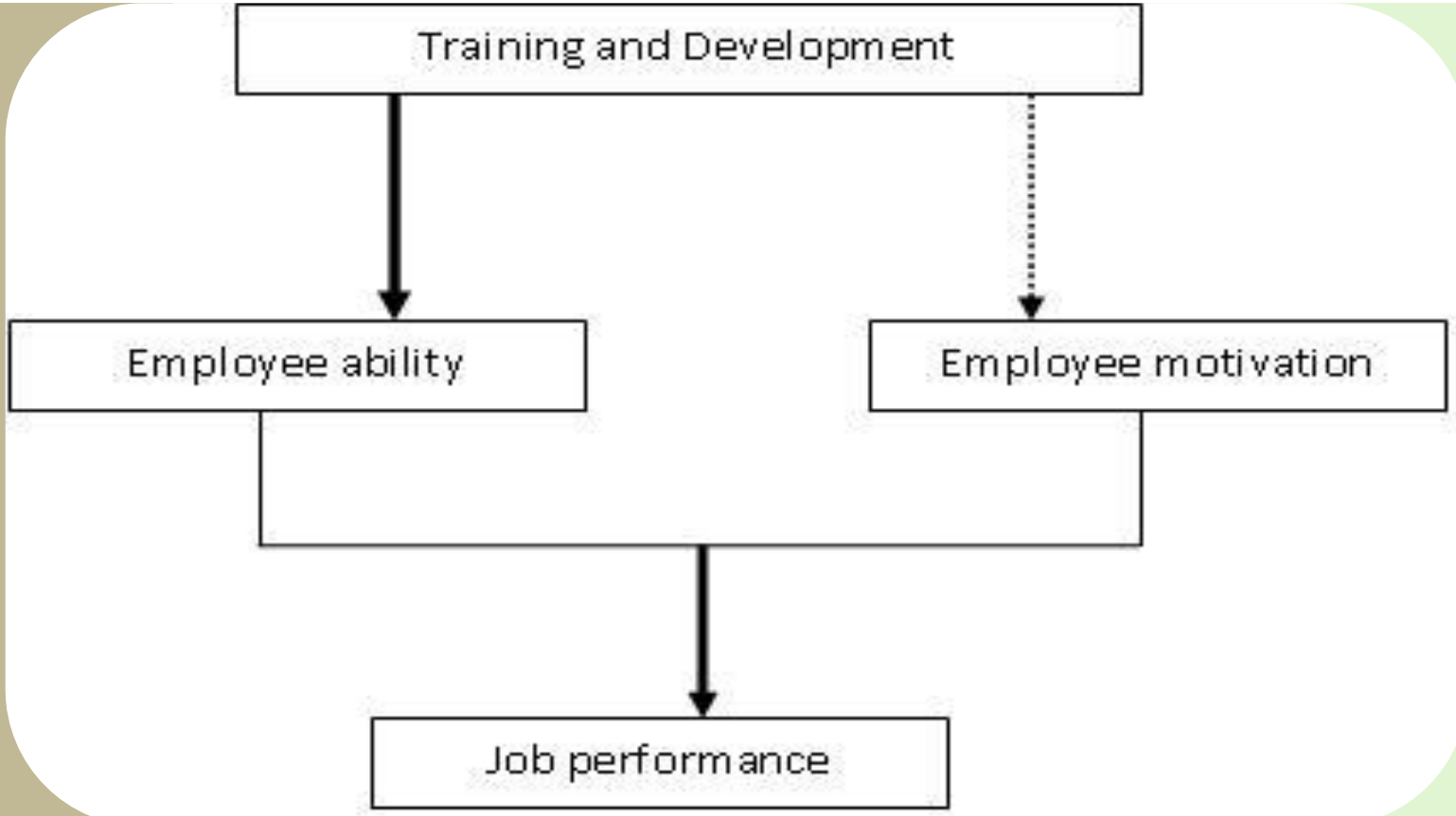
- Help to achieve employee goals and organizational goals.

- T&D is an attempt to increase job performance of the employee at present or future compared with the past by increasing the needed job-related capabilities.

- Will increase employees' job-related abilities.



T&D helps to;



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Why is T&D Necessary?

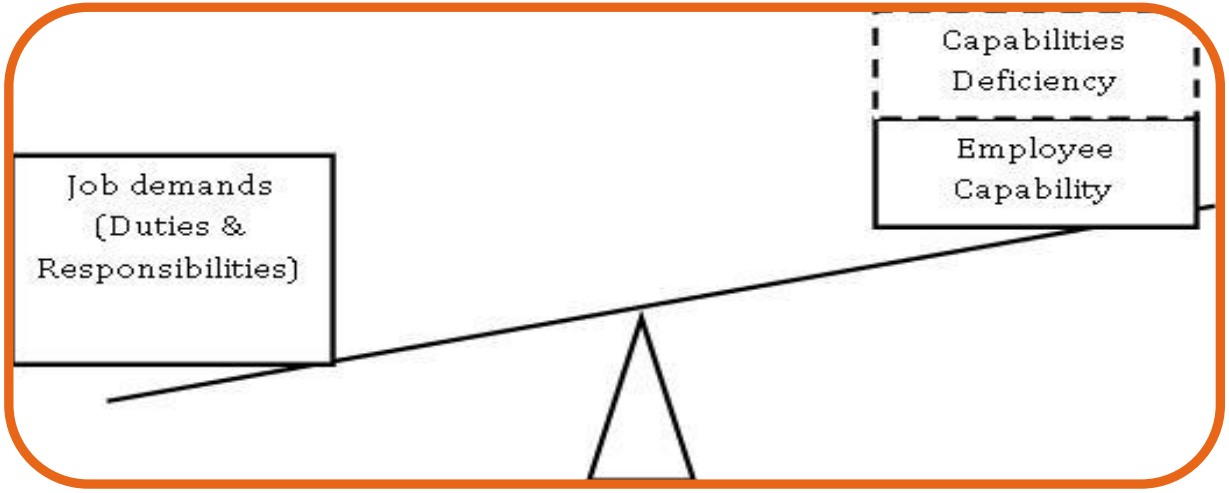
T&D need	=	Standard performance – Actual performance
T&D need	=	Desired performance – Actual performance

- Employee performance deficiency is the degree of negative gap between the standard performance of the employee and actual performance

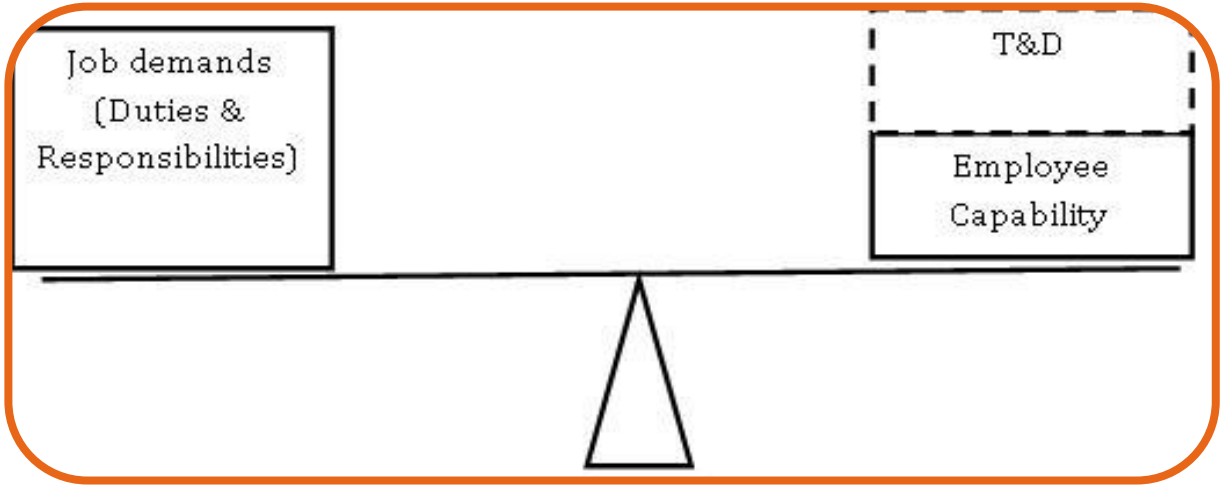
- Need for T&D arises if performance deficiencies of the employees in the organization are due to lack of capabilities or abilities

Why is T&D Necessary?

Before



After



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Methods of Training

- On-the-job Training
- Job rotation
- Case study method
- Understudy
- Assignment



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On the Job Training

On-the-job training is when new employees learn applicable skills for their role while in the workplace.

It's a practical training method focused on a hands-on approach in a live or simulated training environment, typically under the guidance of a supervisor or mentor.

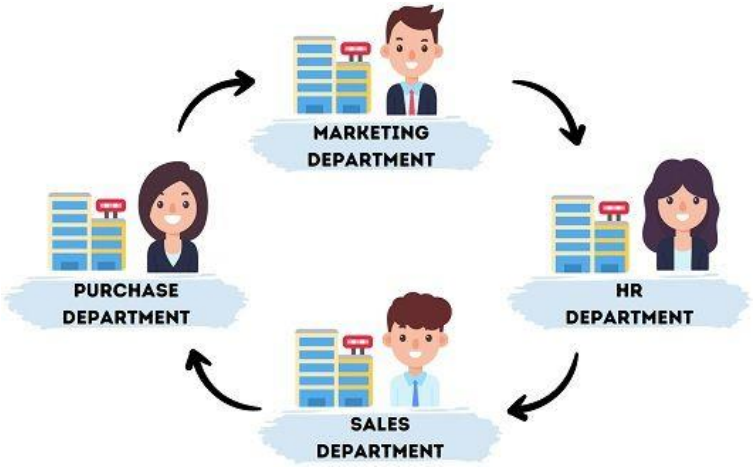


Job rotation

Job Rotation is a management approach where employees are shifted between two or more assignments or jobs at regular intervals of time in order to expose them to all verticals of an organization.

It is a pre-planned approach with an objective to test the employee skills and competencies in order to place him or her at the right place.

In addition to it, it reduces the monotony of the job and gives them a wider experience and helps them gain more insights.



Case study method

The case study is a method of sharing descriptive situations with the goal to stimulate the trainees to think and make decisions to successfully accomplish their job tasks, apply and develop new ideas, manage or improve processes, and solve problems at work.

This method takes on a practical approach.



Understudy

Understudy refers to the method in which trainees are prepared to perform the work or fill the position of their superiors.

In this technique, a trainee who is likely to assume the full duties and responsibilities of the position currently held by his/her superior is called as an understudy.

The understudy fills the position of his/her superior that is about to leave the job due to promotion, retirement, or transfer.

For instance, the departmental head may pick up one competent person from the department to become his/her understudy. This gives the understudy an opportunity to try out his/her leadership skills.



Assignments

Assignments refer to the method in which the trainees are asked to solve an actual organizational problem.

In committee assignments, trainees have to work together in a team and offer solution to the problem.

This method of training helps the trainees to develop team spirit to achieve a common organizational goal.





Reward Management

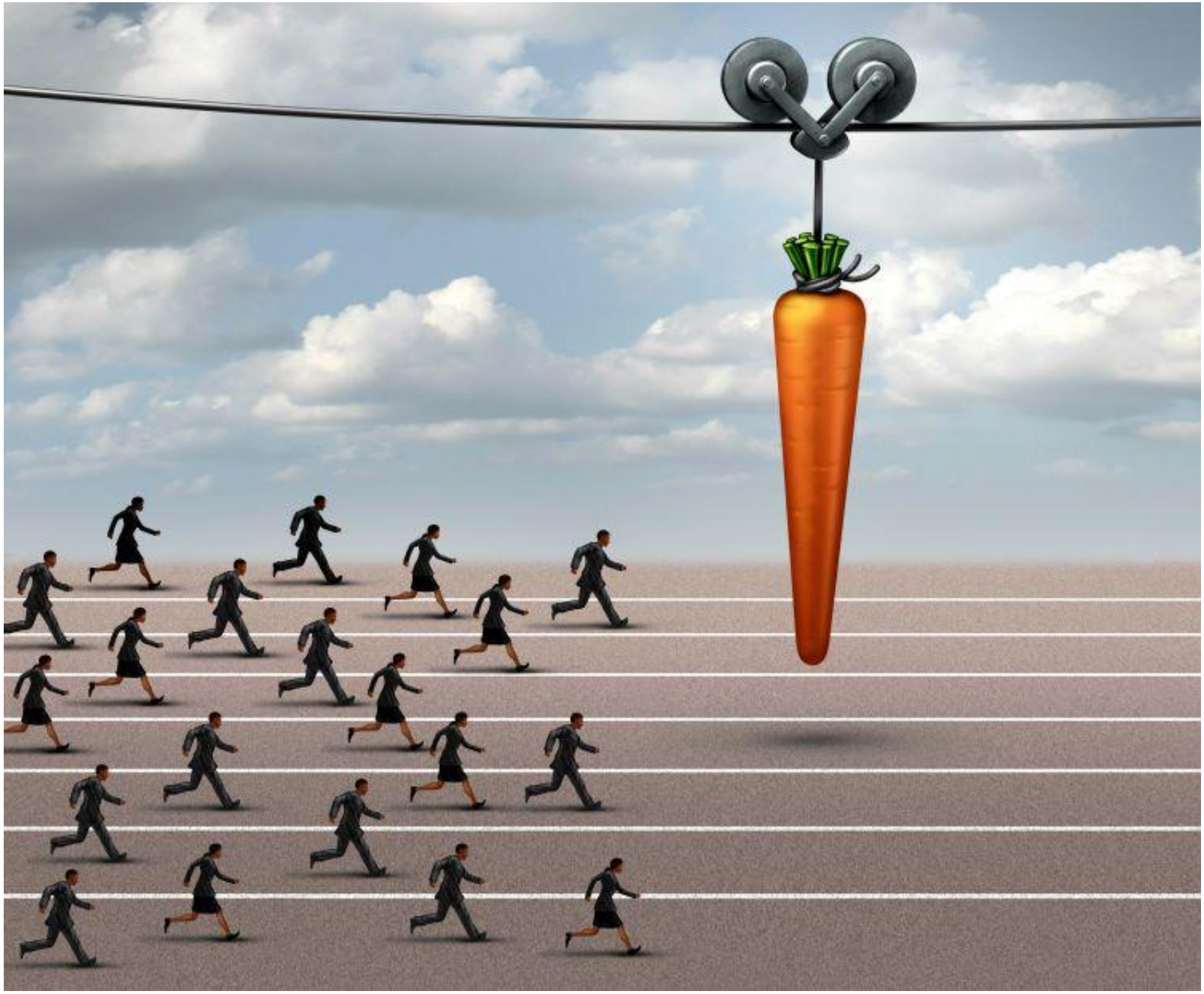




Reward Management

- The formulation and implementation of strategies and policies that aim to reward people fairly, equitably and consistently in accordance with their value to the organization.

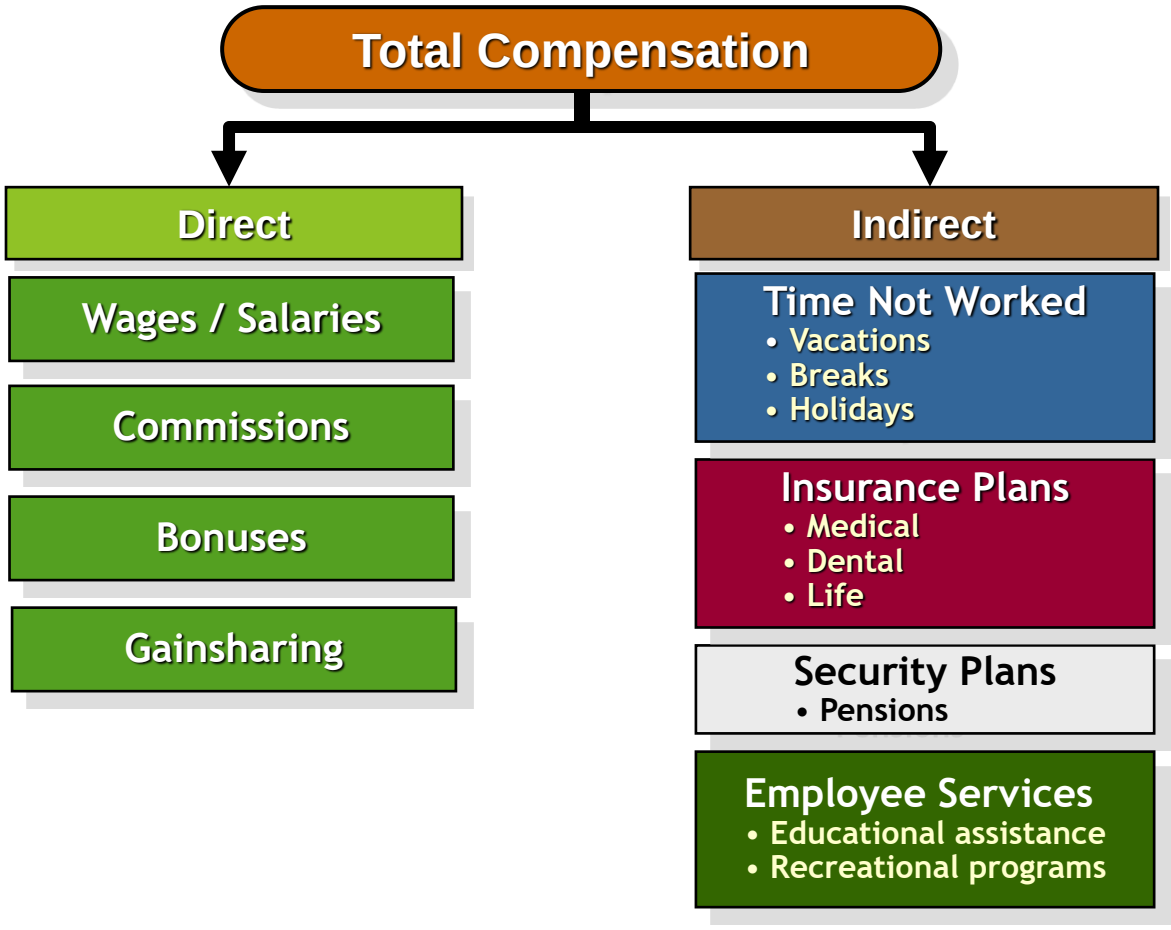
- It deals with the design, implementation and maintenance of reward practices that are geared to the improvement of organizational, team and individual performance.



Compensation

- Pay is a statement of an employee's worth by an employer.
- Pay is a perception of worth by an employee.




Total Compensation
Direct
Wages / Salaries
Commissions
Bonuses
Gainsharing
Indirect
Time Not Worked
• Vacations
• Breaks
• Holidays
Insurance Plans
• Medical
• Dental
• Life
Security Plans
• Pensions
Employee Services
• Educational assistance
• Recreational programs

The Bases for Compensation

- **Hourly Work**
  - Work paid on an hourly basis.
- **Piecework**
  - Work paid according to the number of units produced.
- **Salary Workers**
  - Employees whose compensation is computed on the basis of weekly, biweekly, or monthly pay periods.

Management of Incentives

- An incentive is a special reward that drives an employee to perform beyond the normal level of performances.
- It is an inducement that encourages the employee to perform in better way. Incentives are rewards designed to encourage and reimburse employees for efforts beyond normal performance expectations.
- Incentives are paid in addition to wages and salaries and they depend on productivity, sales, profit or cost reduction efforts.



Management of Incentives

Financial Incentives	Non-Financial Incentives
• also called as monitory incentives • are considered are the most traditional and the most common form of incentives. • Any incentive which is in the form of cash or wealth • are based on the assumption that money is the most important motivating factor Ex: Target incentives Commission on sales Bonus Overtime payments Differentiated piece rate	• are also called non monitory incentives • relate to social and psychological needs of the employee Ex: Rewards and recognition Promotions Enhanced responsibilities and challenges Status and ranking Training Appreciation and praise Freedom for decision making

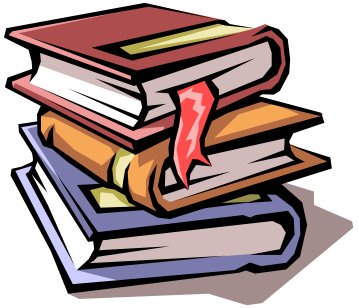
FRINGE BENEFITS











Incentives drive performance and productivity, while fringe benefits promote well-being and loyalty. Both are critical to creating a motivated, effective, and set staff in today's fast-paced corporate world.

FEATURES OF FRINGE BENEFITS

- An employee enjoys them in addition to the salary he/she receives.
- They are not given for specific jobs performed but to make jobs more attractive.
- They are not linked to productivity so do not reward performance in any way, criteria used is other than performance.
- They have an indirect impact on workers' efficiency. If impact is direct, it is not a fringe benefit.

Types of Fringe Benefits



- **Wellness programs** concentrate on keeping employees from becoming sick rather than simply paying expenses when they do become ill.
- **Child care programs** assist parents with child care expenses.
- **Cafeteria-style benefits** allow employees to choose the benefits they really want.



Grievance Handling



Grievance Handling

- A grievance that is informal or formal, real or imaginary may be a severe source of conflict.
- Hidden dissatisfaction grows and soon arouses an emotional state that may be completely out of proportion to the original complaint.
- Frustration among employees can lead to a variety of counterproductive behaviors

Causes for Grievances

- Causes relating to the working conditions
- Causes relating to the Personal Management

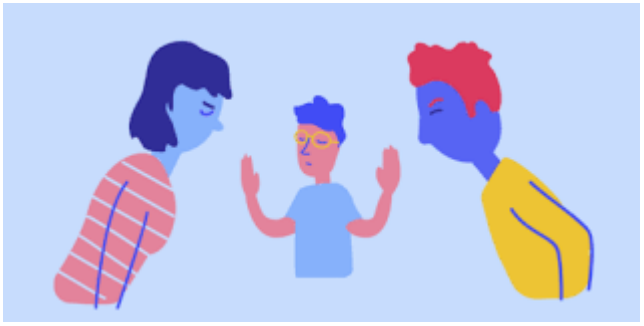
  Decisions such as Policies, Procedures and Practices
- Causes relating to Inappropriate Personal Behaviour



Methods of Handling Grievances

- Open-door Policy
- Committee Approach
- Counseling





Principles for efficient and effective grievance handling

- Treat all grievances as important
- Obtain all relevant information
- Discuss
- Proper listening
- Build Trust
- Accept Mistakes



Labour Law



Labour Law

- The employment relationship in Sri Lanka is based on the Employer-Employee relationship which over the years has gained protection under the law.

- The Common Law concept of the contract based on a master and servant relationship under the Roman Dutch Law, which was later influenced by English Law concepts.

Key Objectives of Labour Law

- Promoting Employer-Employee relations and maintaining industrial peace
- Contributing national development
- Preventing and settling industrial disputes
- Regulating trade unions
- Protection and welfare of women, children and young persons

Shop and Office Employee's Act (No. 19 of 1954)

- The regulations set out in these statues are the minimum conditions that employers should provide for their employees and the employers are free to grant better conditions at their discretion.

- **Shop:** any premises in-which any retail or wholesale business is carried on including residential hotels, restaurants, hairdressing saloons, photo studios and laundries.

Office: any office maintained for business, clerical department of a factory, hotel, cinema and an office maintained in any other place including trade unions

Employees Provided Fund Act (No. 15 of 1958)

- An act to establish a provident fund for the benefit of certain classes of employees and provide for matters connected therewith or incidental thereto.
- It ensures the retiring benefits to employed persons by means of contributory provident fund.
- Employee – 8% Employer -12%

Employees Trust Fund Act (No. 46 of 1980)

- An act to provide for the establishment of a fund called the employees' trust fund and to provide for matters connected therewith or incidental thereto.
- No contribution from the employee.
- The current rate is 3%

Some other related Acts;

- Wages Board Ordinance (No. 27 of 1941)
- Payment of Gratuity (No. 12 of 1983)
- Budgetary Relief Allowances of workers Act (No. 36 of 2005)
- Medical Wants (Amendment) Act (No. 53 of 1993)
- Trade Union Ordinance, Chapter 174 (No. 14 of 1935)

Thank you

